



JAMES GRANT

The founder and publisher of the highly respected *Grant's Interest Rate Observer* is anything but a notorious character, although his subject certainly is. Grant has dedicated himself not only to predicting interest rate movements, but to interpreting the Wall Street scene through a skeptical eye. After serving in the Navy during the Vietnam War, he fell into journalism. Grant was working as a staff writer for *Barron's* until the summer of 1983, when he left to start his twice-monthly publication. The first issue was published in November of that year. Since then he has started two other newsletters, *Grant's Asia Observer* and *Grant's Municipal Bond Observer*. His offices are (ironically) in a converted boardroom of a bankrupt Wall Street bank.

Of his approach, Grant wrote: "Our editorial approach was to ask the deceptively simple question, 'What's next in financial markets' . . . *Grant's* developed a niche in truth-telling, which sometimes amounted to nothing more than quoting the hair-raising legal language of the bond prospectuses. . . ." An overbearish attitude, however, has sometimes caused him to miss the mark. For example, in early 1991 he wrote what he called "first-rate pieces" on why the stock market wouldn't go up. But it did, for the next seven years. In admitting his erroneous ways, Grant concludes, "There is little or no permanent truth in financial markets." Another insight to failure: "Extensive experience has taught me that there are many ways to be wrong about markets: through shortsightedness, of course, but also through excessive farsightedness; through pride, ignorance, bad luck, impatience, imagination, or sophistry."

While Grant was criticized for being overly pessimistic, he did anticipate the downfall of characters like Michael Milken and Donald Trump (although they have since rehabilitated themselves). He also predicted the spectacular rise in real estate prices of the late 1980s and Japan's economic collapse in the 1990s. But it was the junk bond era of the 1980s that provided plenty of fodder for his witty writing. *Michael Milken, Meet Sewell Avery* is in that vein, as he puts the junk bond craze into historical perspective and explains why debt is a fair-weather friend.